DIGITALAIKART · PREMIUM INDIA EDITION

THE 2026 FAMILY-MONEY SERIES

The Term Life Insurance Buying Guide 2026

India Edition · Buy the right cover, not the costliest one — with the 2026 GST change explained

- How much cover you actually need
- The claim numbers that matter (and the myth)
- What you will really pay, by age
- The 2026 tax + zero-GST picture

Verified against IRDAI and official sources · October 2026

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Before you start

Read This First

This guide is written for one person: an Indian earning member with people who depend on that income — a spouse, children, or ageing parents — who wants to protect them without being sold the wrong product. It is deliberately short on theory and long on decisions you can act on today. Every rule, number and threshold below was checked against IRDAI publications, the Income-tax Act, 2025 and the GST Council's 2025 decision, in October 2026.

Two honest warnings before you spend a rupee. First, term insurance is not an investment. It pays only if you die during the term, and that is precisely why it is the cheapest, highest-cover protection you can buy — a fraction of what an endowment or ULIP plan costs for the same cover. Second, insurance prices and tax rules move. Treat every figure here as a verified snapshot and confirm the current premium and terms with the insurer before you buy.

> **This is education, not advice**
> Nothing here is personalised financial advice, and no insurer or plan is recommended for you personally. Use the method, size your own cover, and decide what fits your family. For a decision this personal and this long-lived, a licensed adviser can help.

What is inside

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Chapter 1

Why Term Insurance Is the One Product You Must Get Right

Most financial products make you poorer or richer. Term insurance does something different: it decides what happens to your family if you are not there. Get it right and a modest annual premium turns into a large, tax-free lump sum exactly when your family needs it most. Get it wrong — too little cover, a hidden non-disclosure, or the wrong product — and the family discovers the gap only when it is far too late to fix.

What term insurance actually is

You pay a level premium each year. If you die during the policy term, the insurer pays your nominee a fixed sum, the sum assured, as a lump sum (or a mix of lump sum and monthly income). If you outlive the term, there is no payout and no refund — and that is the point. Because the insurer only pays on death, and most policyholders survive the term, the premium is tiny relative to the cover. A healthy 30-year-old can buy about ₹1 crore of cover for roughly ₹12,000–15,000 a year; the same premium buys barely ₹10–15 lakh of cover under a traditional endowment plan.

Who needs it — and who does not

The test is simple: does anyone rely on your income, or would a loan fall on someone else if you died? If yes, you need term cover.

- You need it if you have a spouse, children, or parents who depend on your income; or an outstanding home, car, education or business loan; or a family that would struggle to meet future goals like a child's education or marriage without your earnings.
- You generally do not need it if you are single with no dependants and no significant liabilities — though buying young locks in a very low premium, so some people take a small cover early and raise it later.
- Age is the single biggest lever. Premiums are level for the whole term and rise sharply with the age at which you buy, so cover bought at 28 costs far less over 30 years than the same cover bought at 40.

The 2026 win: individual life insurance is now GST-free

A change that most buyers have not noticed makes 2026 a genuinely better year to buy. The GST Council, in its 56th meeting on 3 September 2025, recommended removing GST on all individual life and health insurance policies, and the exemption took effect on 22 September 2025 under Notification No. 16/2025-CTR. The rate on individual life policies — including term plans — fell from 18% to zero. IRDAI later confirmed that insurers had not raised base premiums and had passed the relief on to policyholders.

What the zero-GST change means for you

A term premium that used to carry 18% GST is now charged without it, so your effective cost is roughly 15% lower than the pre-September-2025 equivalent. Group insurance is still taxed at 18% — only individual policies got the exemption. When you compare quotes, make sure you are looking at today's GST-free premium, not an old figure.

One caution: the exemption applies from the date of premium payment (or renewal) on or after 22 September 2025, so any policy you buy now is inside it. There is no benefit in delaying a purchase you have already decided on.

Chapter 2

Term vs Everything Else

The most expensive mistake in Indian life insurance is buying the wrong type of policy. Agents are paid far more commission on endowment, money-back and ULIP plans than on plain term — which is why those are the ones pushed hardest. Here is the honest comparison.

Type	What it does	Cover per rupee	Best for
Term plan	Pure protection; pays the sum assured only on death during the term	Highest — very large cover for a small premium	Almost everyone with dependants
Endowment / money-back	Protection plus a maturity payout; mixes insurance with a low-return saving	Low — same premium buys a fraction of the cover	Rarely the best choice; only for those who will not invest separately
ULIP	Protection plus market-linked investment in funds; charges are front-loaded	Low-to-moderate	Only if you specifically want market-linked investing inside a policy
Whole life	Cover for your entire life, often with a savings element	Moderate	Estate planning; not a substitute for cheap term cover

The maths that ends the debate: buy term, invest the difference

Take an annual outlay of about ₹30,000. In a traditional endowment plan, that might buy roughly ₹5–7 lakh of cover with a modest maturity value. In a term plan, the same ₹30,000 buys many times that cover, and the money you save by not overpaying for insurance can go into a PPF, ELSS fund or index fund where you control the return. The widely taught rule in Indian financial planning is exactly this: buy pure term cover for protection, and invest separately for your goals. Mixing the two usually gives you poor protection and a poor return at the same time.

> **The commission clue**
> If a product is being pushed hard, ask what commission the seller earns on it. Term plans pay the lowest commission of any life product, so they are rarely the one being sold. That asymmetry, more than any spreadsheet, explains why so many Indian families are under-insured.

When a traditional plan can make sense

There is one honest use case. A small minority of people genuinely cannot discipline themselves to invest on their own and will spend any money left in their account. For them, a bundled product forces a saving. Even then, the right answer is usually term cover for protection plus an automatic monthly investment — not an expensive insurance-cum-investment plan. For everyone else, separate the two jobs.

Chapter 3

How Much Cover You Actually Need

Under-insurance is the norm in India: the average cover is a small fraction of what a family would actually need to replace the breadwinner's income. Buying too little is the most common and most damaging mistake, because a payout that runs out in three years does not protect a family for the twenty years they still need support.

Method 1: the income-multiple rule (a quick starting point)

A simple rule of thumb is 10 to 15 times your annual income. If you earn ₹12 lakh a year, that points to ₹1.2–1.8 crore of cover. It is fast, but it ignores your specific loans and goals, so treat it only as a floor.

Method 2: the Human Life Value (HLV) method (the accurate one)

This is the method to use. Add up what your family would actually need, then subtract what they would already have.

1. Replace your income for the years your family still depends on it: annual income × years of support remaining (usually until you would have retired, or until your children are independent).
2. Add every outstanding loan: home, car, personal, education and any business liability — the family should not inherit debt.
3. Add the big future goals: children's education and marriage, and a buffer for inflation.
4. Add a contingency margin for one-time costs and a few years of running the household.
5. Subtract what the family already has: existing savings, investments, the spouse's income, and any cover you already hold. The gap that remains is the cover you should buy.

For most earning Indians with a home loan and young children, this lands between ₹1 crore and ₹3 crore — usually far above the round number people assume.

Worked example: a 32-year-old earning ₹15 lakh

Component	Amount	Why
Income replacement	₹2.25 crore	₹15 lakh a year for 15 years of remaining support
Outstanding home loan	₹45 lakh	Family should not inherit the EMI
Child education fund	₹30 lakh	Higher-education cost, inflation-adjusted
Contingency + household buffer	₹20 lakh	One-time costs and a few years of running costs
Less: existing savings and cover	−₹25 lakh	What the family would already have
Cover needed	≈ ₹2.95 crore	Round up to ₹3 crore

Round up, not down
Cover is cheap, and the difference between ₹2 crore and ₹3 crore in premium is small relative to the protection. When you are between two figures, take the higher one — under-insuring is the expensive error, not over-insuring.

Worksheet: size your own cover

Step	Your figure
Annual income × years of support needed	₹ _____
+ Total outstanding loans	₹ _____
+ Children's education and marriage goals	₹ _____
+ Contingency and household buffer	₹ _____
− Existing savings, investments and current cover	₹ _____
= Cover you should buy (round up)	₹ _____

Chapter 4

How Long Your Cover Should Run

The cover amount is half the decision; the term is the other half. The right term is the number of years your family depends on your income — not the longest number the seller can offer.

- A common default is to run cover until the age you expect to be financially independent — typically around 60 to 65, by which time loans are cleared and children are earning.
- Match the term to your longest liability. If your home loan ends in 20 years, cover that runs 20–30 years keeps protection while the debt exists.
- Buying cover that runs well past the years your family depends on your income usually adds cost without adding much protection.
- Because premiums are level and fixed at purchase, buying a longer term early locks in a low rate — but do not pay for decades of cover you will not need.

The two-cover approach

One flexible way to get both high cover now and lower cost overall is to split your need into two policies bought together: a large policy for the years when the need is greatest (say, 25 years, while children are dependent and the loan runs), and a smaller policy for a longer period to cover your spouse into later life. Both are term plans, so both stay cheap, and you can drop the larger one when its job is done.

> **Cover should shrink as your responsibilities do**
> Your need for cover peaks when your children are young and your loan is large, then falls as the loan is repaid and the children become independent. A term that tracks that arc — rather than a flat 40 years — keeps you properly protected at the lowest sensible cost.

Chapter 5

The Claim Numbers That Matter — and the ‘Term CSR’ Myth

A term policy is a promise made decades into the future. The single most important question is not the premium; it is whether the insurer will actually pay your family, and how fast. There are three numbers to read together, and one widely repeated claim that is simply false.

1. Claim settlement ratio (CSR) — by number

CSR is the share of death claims an insurer paid out of those it received in a year. IRDAI publishes it annually. For FY 2024–25, the life insurance industry settled 97.82% of individual death claims by number. Almost every large insurer now sits above 97%, which is reassuring — and also makes CSR a weak differentiator on its own.

2. Settlement ratio by amount — the number people skip

This is the share of the total claimed rupee value that was actually paid. It matters because an insurer can settle many small claims quickly while disputing large ones — and a term claim is a large claim. For FY 2024–25, the industry settled 96.29% of individual death claims by amount. Repudiation was 1.01% of claims by number but 2.74% by amount — the contested claims were, on average, the bigger ones. Always read the amount column, not just the headline ratio.

3. Settlement speed

How quickly the money arrives matters as much as whether it eventually does, because a family relying on the payout cannot wait months. IRDAI's data shows the industry settled about 97.1% of individual death claims within 30 days in FY 2024–25, with private insurers at roughly 97.30%. Under IRDAI norms, insurers must settle undisputed death claims within 30 days of receiving all documents, or 120 days where an investigation is needed.

FY 2024–25 individual death claims (IRDAI)	By number	By amount
Settled	97.82%	96.29%
Repudiated (declined under Section 45)	1.01%	2.74%
Rejected (not payable under policy terms)	0.66%	0.05%
Settled within 30 days (industry)	≈97.1%	—

The ‘term insurance CSR’ myth

There is no official, separate ‘term insurance claim settlement ratio’. IRDAI publishes one CSR per insurer covering ALL its individual life products — term, ULIP, endowment and whole life combined. Any website that shows a ‘term-only CSR’ or a ‘top term plans as per IRDAI’ ranking has invented that framing. IRDAI does not rank, rate or endorse products or insurers.

Solvency ratio — can the insurer keep its 30-year promise?

A term policy is a promise that may need to be honoured in 2056. The solvency ratio shows whether the insurer holds enough capital to meet its obligations. IRDAI sets a minimum of 1.50, and the major insurers comfortably exceed it — most sit between roughly 1.8 and 2.1. When two insurers look similar on claim settlement, solvency is the sensible tie-breaker.

How to actually compare insurers

1. Look at CSR by number AND by amount — read both, not just the headline.
2. Check the solvency ratio is comfortably above IRDAI's 1.50 minimum.
3. Note how fast the insurer settles claims — read the duration-wise settlement data.
4. Ignore any ‘IRDAI-ranked best plans’ list; IRDAI does not rank.
5. Then, and only then, compare premiums — a slightly cheaper premium from a weaker insurer is not a saving.

Chapter 6

What You Will Really Pay, by Age

Term premiums depend mostly on your age, the cover amount, the term, and whether you smoke. The biggest lever is age: premiums are level for the whole policy, so the rate you lock in at purchase is the rate you pay for decades. Buying young is the cheapest decision in insurance.

Age at purchase	Indicative annual premium for ₹1 crore cover (non-smoker)
25 years	roughly ₹9,000–12,000
30 years	roughly ₹12,000–15,000
35 years	roughly ₹15,000–20,000
40 years	roughly ₹22,000–30,000
45 years	roughly ₹35,000–50,000

These are indicative ranges for a healthy non-smoker buying a typical term plan, before insurer-specific discounts; your actual quote will vary by insurer, health, occupation and lifestyle. Smokers typically pay 40% to 70% more than non-smokers for the same cover.

- Age is the lever you cannot get back. Every year of delay raises the level premium for the entire term.
- Cover amount is the next lever — and it is cheap. Doubling cover from ₹1 crore to ₹2 crore costs far less than double the premium, so size cover generously.
- Term length matters: a longer term costs more, but buying the right length early locks in the rate.
- Smoking and tobacco use are the biggest health loadings — and they must be disclosed truthfully.
- The GST exemption means today's quotes are already lower than pre-September-2025 figures; compare like with like.

The cheapest ₹1,00,000 you will ever spend
For many 30-year-olds, a ₹1 crore term plan costs about ₹1,000–1,250 a month — less than most phone-and-subscription bills — and it protects an entire family's future. There is almost nothing else in personal finance with that ratio of cost to consequence.

How to lower your premium without cutting cover

- Buy online, directly from the insurer: the same cover is often 10–30% cheaper than through an agent, with fewer mis-selling risks.
- Buy young and lock the rate in for the whole term.
- Choose a longer premium-payment term (paying till the end of the policy) rather than a limited-pay variant, if cash flow allows — it spreads the cost and lowers the annual outgo.
- Pay annually rather than monthly; many insurers load monthly payments with a small extra charge.
- Quit tobacco before your medical — it is the single biggest loading, and it is also good for you.

Chapter 7

Riders — Which to Add, Which to Skip

Riders are add-ons that expand what the base term plan covers, for an extra premium. Some close a real gap in your protection; others are just extra cost. Add a rider only when it covers a risk your family would otherwise face.

Rider	What it pays for	Add it if…
Accidental death benefit	An extra sum, over and above the base cover, if death is by accident	You have a high-risk job or drive a lot and want a larger payout for accidental death
Critical illness	A lump sum on diagnosis of a listed serious illness	You have no separate health cover for major illness and want the cash on diagnosis
Waiver of premium	The insurer pays your future premiums if you are disabled and cannot work	You want the policy to stay alive even if your income stops
Income benefit	A monthly income to the family instead of one lump sum	You worry the family might spend a lump sum too quickly and prefer regular income
Return of premium	Refunds the premiums paid if you survive the term	Rarely worth it — it sharply raises the premium for a modest refund

The rider rule
A rider should close a gap you can name. If you cannot say which risk it removes, you are paying extra for a feature, not protection. Two riders that usually earn their keep are accidental death benefit (if your lifestyle warrants it) and waiver of premium (to keep the policy alive if you cannot pay). Return-of-premium is the one to be most sceptical about.

Do not double-count with your other cover

If you already hold health insurance, a critical-illness rider may partly overlap with it — but note they do different jobs. Health insurance reimburses hospital bills; a critical-illness rider pays a lump sum you can use for anything, including income you lose while recovering. Check what you already have before adding, and avoid paying twice for the same protection.

Chapter 8

The 2026 Tax Picture and the Zero-GST Change

Two recent changes shape the tax treatment of term insurance in 2026, and both are worth knowing before you buy.

The death payout is tax-free — and always was

The most important tax fact is also the simplest: the sum assured your nominee receives on a death claim is fully tax-free. That benefit is not affected by the new tax law or by which regime you are in — your family receives the entire sum, with no tax deducted. This is the core reason term insurance is so effective as protection: the money arrives whole, exactly when it is needed.

The premium deduction now sits under the new Income-tax Act, 2025

The Income-tax Act, 2025 came into force on 1 April 2026 and reorganised the old deduction sections. The deduction everyone knew as Section 80C is now Section 123 of the 2025 Act, read with Schedule XV, which lists the qualifying payments. The limit, the basket and the rules carry over from the old law — only the section number changed.

- Life insurance premiums you pay for yourself, your spouse or your children qualify for the deduction, up to the shared ceiling of ₹1,50,000 a year.
- The deduction is available only under the old tax regime. Under the default new regime, this deduction is not available — but the tax-free death payout is unaffected either way.
- For policies issued on or after 1 April 2012, the deduction is restricted to 10% of the sum assured. A term plan easily satisfies this, because the cover is very large relative to the premium.
- Premiums for parents' policies do not qualify for this deduction — only your own, your spouse's and your children's.

> **Do not let tax drive the decision**
> The tax deduction is a bonus, not a reason. A term plan's job is protection, and its value stands on its own whether or not you claim the deduction. Buy the right cover for your family first; treat any tax benefit as a small extra.

GST: the change that cut the cost

As covered in Chapter 1, GST on individual life insurance premiums fell from 18% to zero on 22 September 2025. Your term premium is now charged without GST. Group insurance is still taxed at 18%, so only individual policies — which is what you are buying — benefit. When you read a quote, confirm it is the current, GST-free premium.

Chapter 9

Filling the Proposal Form So Your Claim Is Never Rejected

This is the most important page in the guide. The leading cause of rejected life-insurance claims in India is not the insurer being unfair — it is non-disclosure: hiding or mis-stating an illness, tobacco use, income details or an existing policy on the proposal form. An honest form is the surest way to protect your family's claim.

Disclose everything, even what feels unimportant

- Health: every past or current illness, hospitalisation, surgery, medication and diagnostic test — even one you think has been cured.
- Tobacco, alcohol, paan, gutkha and any nicotine use — insurers test for these and treat them as material facts.
- Income: state your real, verifiable income. Inflating it to buy more cover is a common cause of disputes.
- Existing policies: list every other life and health policy you hold.
- Occupation and hobbies: high-risk jobs, adventure sports and frequent travel can affect terms — declare them.

Know your protection under Section 45

Section 45 of the Insurance Act gives you real protection. After three years from the policy start (or revival), an insurer cannot repudiate a claim on the ground of mis-statement or non-disclosure, provided you disclosed material facts at purchase and paid your premiums. Before three years, non-disclosure can still void a claim — which is exactly why the honest form matters most at the start.

> **The two-minute test before you sign**
> Read your proposal form as if you were the claims officer deciding whether to pay your family. Is there anything you know about your health, habits or income that is not on the form? If yes, add it — or ask the insurer to underwrite it. That single habit prevents the majority of disputed claims.

Keep the paperwork

- Keep a copy of the proposal form and the policy document — they are the contract.
- Keep premium payment receipts, or set up auto-debit so you never miss one.
- Tell your nominee the policy exists, where the documents are, and how to claim.
- Register the policy in the insurance repository (an electronic Insurance Account) so the document cannot be lost.

Chapter 10

The Medical and Underwriting

Most term plans require a medical check, especially for higher cover. Understanding the process removes the fear and helps you avoid a bad outcome.

1. You apply online or through an agent and fill the proposal form (see Chapter 9 — honesty matters most here).
2. The insurer may ask for a medical test, usually at their cost, at a lab or with a visiting technician. Typical tests include blood and urine, and sometimes an ECG or a physician's examination for higher cover or older applicants.
3. The underwriter assesses your age, health, habits, income and family history, and may offer you standard terms, loaded (higher) terms, or decline the cover.
4. If you disagree with a loading, you can usually ask for a re-underwriting with fresh reports, or approach another insurer — but never hide a condition to avoid a loading.

> **A loading is not a rejection**
> If the insurer charges you a higher premium because of a health condition, that is the system working — you are still covered, honestly and safely. Hiding the condition to get a cheaper premium is what turns a manageable loading into a rejected claim years later.

A note on the suicide exclusion

Term plans typically carry a suicide exclusion for the first 12 months of the policy — if death is by suicide within that period, the plan usually returns premiums paid rather than paying the sum assured. After that initial window, the plan pays as normal. This is a standard feature, not a quirk of any one insurer.

Chapter 11

Buying Online vs Through an Agent

	Buying online	Buying through an agent
Premium	Often 10–30% cheaper for the same cover	Higher, because commission is built in
Mis-selling risk	Lower — you choose the plan yourself	Higher — term pays the least commission, so it is rarely pushed
Advice	None or limited; you must do the homework	Personal guidance, but the guidance is rarely neutral
Claims support	You deal with the insurer's helpline	The agent may help file the claim
Best for	People who have read this guide and know their numbers	People who want hand-holding and will not buy term otherwise

The honest conclusion: buy online if you have sized your cover and read the terms, because you save real money and avoid being steered into the wrong product. Use an agent only if you genuinely need guidance and will not otherwise get covered — and even then, insist on a pure term plan.

The mis-selling traps to watch for

- ‘Term insurance is a waste — you get nothing back.' This ignores that you are buying protection, not an investment, and that you invest the difference separately.
- ‘Buy this endowment/ULIP for both protection and savings.' It gives you a fraction of the cover and a poor return, and pays the seller far more commission.
- Free-look is your safety net: you have 30 days from receiving the policy document to return it for a refund of premium (less proportionate risk premium and medical costs) if you realise you were mis-sold.
- Never let anyone fill the proposal form for you without reading it — you are responsible for every answer on it, and the claims officer will hold you to it.
- There is a 15-day grace period for monthly premiums and 30 days for other modes before a policy lapses, but do not rely on it — a lapsed policy can lose its protection.

Chapter 12

Common Mistakes and Claim-Rejection Traps

Mistake	Why it hurts	Do this instead
Buying too little cover	The payout runs out in a few years; the family is still exposed	Size cover with the HLV method and round up
Hiding a health condition or tobacco use	The most common reason claims are rejected in the early years	Disclose everything on the proposal form
Choosing by premium alone	A cheap policy from a weak insurer can mean a disputed claim	Compare CSR (by amount), solvency and speed first
Buying the wrong product	Endowment/ULIP gives little cover for the same money	Buy pure term; invest the difference separately
Stopping premium payments	A lapsed policy loses its protection and may not pay on death	Set auto-debit; use the grace period only as a last resort
Not telling the nominee	The family may not even know the policy exists	Record the policy and tell your nominee where the documents are
Forgetting to review after life changes	Marriage, a child or a new loan raises your need	Re-size cover after every major life event

Review your cover at every life event

Marriage, a new child, a home loan, a big salary jump or a parent becoming dependent all raise the cover you need. Term insurance is not a buy-and-forget product — re-check your number whenever your responsibilities change, and top up with a second policy if the gap has grown.

Chapter 13

Your Action Plan and Worksheets

Your 10-step plan

1. Work out who depends on your income, and confirm you need cover.
2. Size your cover with the HLV method in Chapter 3 and round up.
3. Decide the term — to the age your family becomes independent, matched to your longest loan.
4. Choose the type: pure term. Ignore endowment, money-back and ULIP pitches.
5. Compare insurers on CSR (by number and amount), solvency and settlement speed — never on a ‘best plan’ list.
6. Get GST-free quotes (current 2026 premiums) and compare like with like.
7. Add only the riders that close a gap you can name.
8. Fill the proposal form completely and honestly — every health, habit and income detail.
9. Complete the medical, and accept a fair loading if one is offered rather than hiding a condition.
10. Set auto-debit, register the policy electronically, and tell your nominee.

Worksheet: insurer comparison

What to record	Insurer A	Insurer B	Insurer C
CSR by number (latest IRDAI data)			
Settlement ratio by amount			
Solvency ratio (min 1.50)			
% claims settled within 30 days			
Annual premium for my cover (GST-free)			
Riders included and their cost			
Claim process and helpline			

Printable checklist

Before you buy

☐ I know my cover amount ☐ I know my term ☐ It is a pure term plan ☐ I compared insurers on CSR (by amount) and solvency ☐ I have current, GST-free quotes ☐ I chose only the riders I need ☐ My proposal form is complete and honest ☐ Auto-debit is set ☐ The policy is registered electronically ☐ My nominee knows about it

Appendix A

AI Prompt Pack

Copy these into any AI assistant (ChatGPT, Gemini, Claude) to turn the method into a personal plan. Replace the brackets with your own numbers. Do not enter your policy number, Aadhaar, PAN or bank details into an AI tool.

Size my cover

I am [age] years old, earn ₹[amount] a year, have [number] dependants, an outstanding loan of ₹[amount], and children aged [ages]. My savings and existing cover total ₹[amount]. Using the Human Life Value method, calculate the term cover I should buy and show the working step by step.

Compare insurers on the numbers that matter

Here are the latest IRDAI figures I gathered for three insurers: [paste CSR by number, CSR by amount, solvency ratio and % of claims settled within 30 days]. Explain which numbers matter most for a term claim and help me shortlist, without recommending any insurer as ‘best'.

Term vs endowment, for my situation

An agent is pushing me an endowment plan costing ₹[amount] a year that gives ₹[amount] of cover plus a maturity payout. I can buy a term plan for the same cover far cheaper. Show me, with numbers, what buying term and investing the difference at [return]% for [years] years would give, versus the endowment plan.

Read my proposal form for gaps

Here is a summary of my health, habits and income that I plan to put on a life-insurance proposal form: [paste details]. What material facts might I be forgetting that a claims officer could later use to dispute a claim? List anything I should disclose.

Which riders do I need?

I am [age], [occupation], and I already have health insurance that covers [details]. I am considering an accidental death benefit, critical illness, waiver of premium and return-of-premium rider. Which of these close a real gap for me, and which are just extra cost? Explain your reasoning.

Explain a quote I received

I received a term quote with these terms: [paste sum assured, term, premium, riders, loadings, exclusions]. Explain in plain English what I am buying, what is excluded, and what questions I should ask the insurer before I pay.

Appendix B

Cheat Sheet, Glossary and FAQ

The one-page cheat sheet

Situation	What to do
Deciding if I need cover	If anyone depends on your income or you have loans, you need it.
How much cover	Use the HLV method (Chapter 3) and round up — not the income multiple alone.
Which product	Pure term plan. Ignore endowment, money-back and ULIP pitches.
How long	To the age your family becomes independent, matched to your longest loan.
Choosing an insurer	Compare CSR by amount, solvency and settlement speed — never a 'best plan' list.
Premium	Buy young, online, GST-free; size cover generously — cover is cheap.
The proposal form	Disclose everything. Non-disclosure is the top reason claims are rejected.
Tax	Death payout is tax-free; premium deduction is under Section 123 / Schedule XV (old regime only).
After buying	Set auto-debit, register the policy, tell your nominee, review at every life event.

Glossary

Term plan — A pure protection policy that pays the sum assured only if you die during the term.

Sum assured — The amount the insurer pays your nominee on a valid death claim.

Human Life Value (HLV) — The cover that replaces your income, clears loans and funds goals, less what the family already has.

Claim settlement ratio (CSR) — The share of death claims an insurer paid in a year — read both by number and by amount.

Solvency ratio — A measure of an insurer's capital strength; IRDAI's minimum is 1.50.

Rider — An add-on that expands the base plan's cover, for an extra premium.

Loading — A higher premium charged because of a health or lifestyle factor; you are still covered.

Free-look period — 30 days from receiving the policy to return it for a refund if you were mis-sold.

Section 45 — The law that bars an insurer from repudiating a claim after three years, if facts were disclosed.

Nominee — The person who receives the sum assured on a valid claim.

Frequently asked questions

Is term insurance a waste because I get nothing back?

No. You are buying protection, not an investment. You get nothing back if you survive, but your family gets a large, tax-free sum if you do not. Invest separately for returns.

How much cover is enough?

Use the Human Life Value method: replace your income for the years your family needs it, add loans and goals, then subtract existing savings and cover. For most earning Indians this lands between ₹1 crore and ₹3 crore.

Is GST still charged on my premium?

No. GST on individual life insurance policies — including term plans — fell from 18% to zero on 22 September 2025. Group insurance is still taxed at 18%.

Will my family's claim be taxed?

No. The death benefit paid to your nominee is fully tax-free, regardless of the tax regime.

Can I claim a tax deduction on the premium?

Yes, if you are on the old tax regime: life insurance premiums for yourself, your spouse and your children qualify under Section 123 of the Income-tax Act, 2025 (read with Schedule XV), up to the shared ₹1,50,000 ceiling. The deduction is not available under the new regime.

What is the biggest reason claims get rejected?

Non-disclosure — hiding an illness, tobacco use, income or an existing policy on the proposal form. Disclose everything honestly.

Should I buy online or through an agent?

Online is usually 10–30% cheaper with less mis-selling risk. Use an agent only if you need guidance and will not otherwise buy — and insist on a pure term plan.

What if I develop a health condition before buying?

Disclose it. The insurer may charge a loading or exclude a condition, but you will be covered honestly. Hiding it risks a rejected claim later.

The Term Life Insurance Buying Guide 2026 — India Edition. Published by Digitalaikart. Every rule, figure and threshold was verified against IRDAI publications, the Income-tax Act, 2025, and the GST Council's September 2025 decision, in October 2026. Insurance prices, tax rules and claim data change — confirm the current premium and terms with the insurer before you buy. This guide is educational and is not personalised financial advice.